

Gutz Evaluation of Lifecare Advantage

Dave Gutz 2025 - 04-08

The Main Assumptions – Life Care

LC	Single	Double
Entrance	\$ 855,000	\$ 900,000
Monthly	\$ 8,100	\$ 9,600
AL Entr	\$ — 0	\$ 0

Lifecare	Independent	Assisted
Both in Unit 304	\$ 9,600	\$ 0
1 in #304 1 in AL	\$ 9,600 / 2	\$ 9,600 / 2
1 in #304	\$ 8,100	\$ 0
Both in 1 BR AL	\$ 0	\$ 9,600
1 in 1 BR AL	\$0	\$ 8,100

Entrance fee 90% refunded

The Main Assumptions - Continuing Care

CC	Single	Double
Entrance	\$ 442,000	\$ 481,000
Monthly	\$ 3,550	\$ 3,750
AL Entr	\$ 199,500	? again ?

Continuing Care	Independent	Assisted
Both in Unit 304	\$ 3,750	\$ 0
1 in #304 1 in AL	\$ 3,550	\$ 9,200
1 in #304	\$ 3,550	\$ 0
Both in 1 BR AL	\$ 0	\$ 13,500
1 in 1 BR AL	\$0	\$ 10,000

Entrance fee refund amount decrement 20% / yr

Summary – If 5 yrs older: maybe

- Starting with \$6.3M gives us ‘room to maneuver’ **We’ll have portfolio growth despite Lifecare**
- The more assisted living time, the more the benefit of Lifecare. And at short assisted living time Lifecare is a loss.
- Break-even years depend on time spent in Independent living
- BUT huge market variations make it impossible to predict expected gains and losses
- If we were 5 years older Lifecare may be a good value

Variation Story

- Lifecare as an investment will usually have positive ROI
 - So does Continuing Care - not much different there. Both will likely gain 3x
 - We will likely lose \$1M compared to CC
 - But that isn't much difference compared to market uncertainty 300%

Intangibles

- Lifecare offers shelter from markets during assisted living
- Lifecare offers shelter from the David Gutz Trust during assisted living (maybe Suzanne's changes wouldn't be needed anymore)

David and Katherine's Monetary Split - LC

Kathy's share based on 30% housing and her normal share for entering CC

Kathy savings \$ 861,000

- David savings \$ 4,808,000

1/3 of CC Entrance

- CC 2:1 → \$ 481,000 = \$ 320,700 + \$ 160,300

- LC → \$ 900,000 = \$ 739,700 + \$ 160,300

30% of take-home

- Kathy take-home \$ 4,219 → < \$ 1,265 housing

- David take-home \$ 9,105. His share \$ 8,335

- \$ 9,600 = \$ 8,335 + \$ 1,265

- We both need to check if monthly LPL hits are needed

CC	Single	Double
Entrance	442,000	481,000
Monthly	3,550	3,750

LC	Single	Double
Entrance	855,000	900,000
Monthly	8,100	9,600

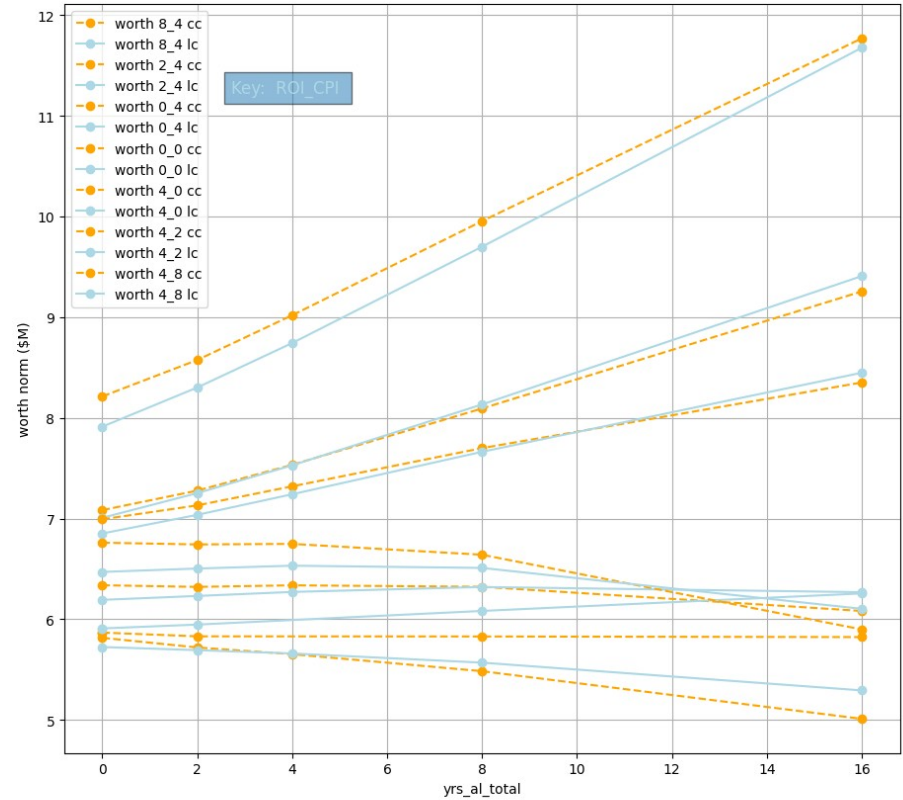
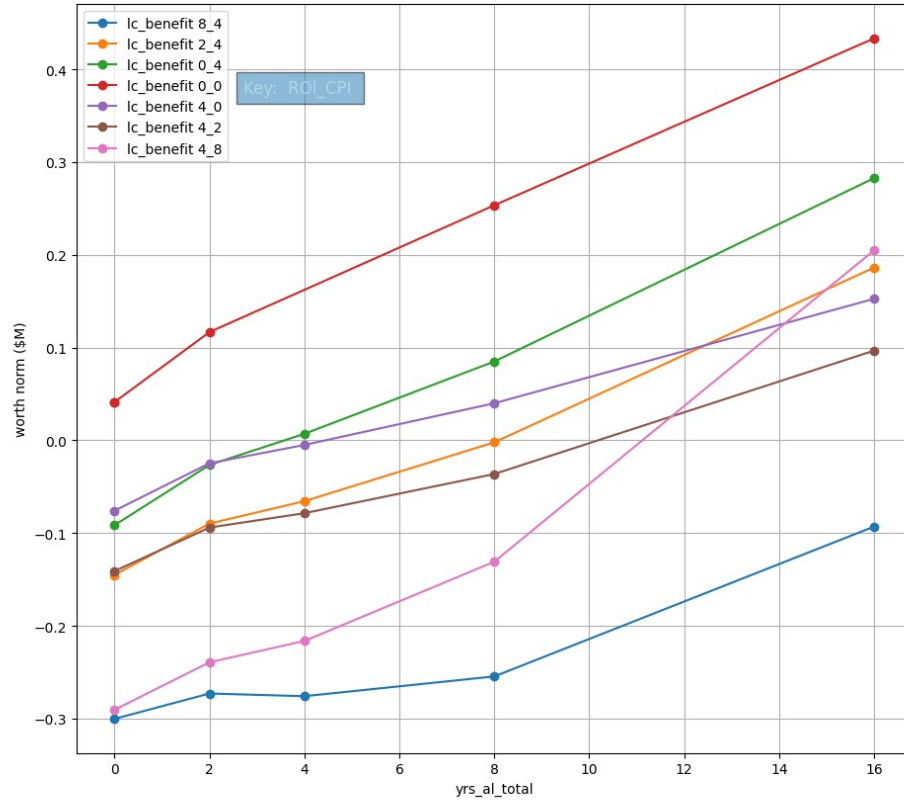
David and Katherine's Monetary Split - CC

- Entrance + furnishings covered by \$600k house sale fund
- $\$3,750 = \$2,500 + \$1,250$ (D + K monthly)
- We should be able to handle this without monthly LPL transfers. Our budgets were setup to manage a house – that we sold – without changing our budgets

CC	Single	Double
Entrance	442,000	481,000
Monthly	3,550	3,750

5 yrs Independent

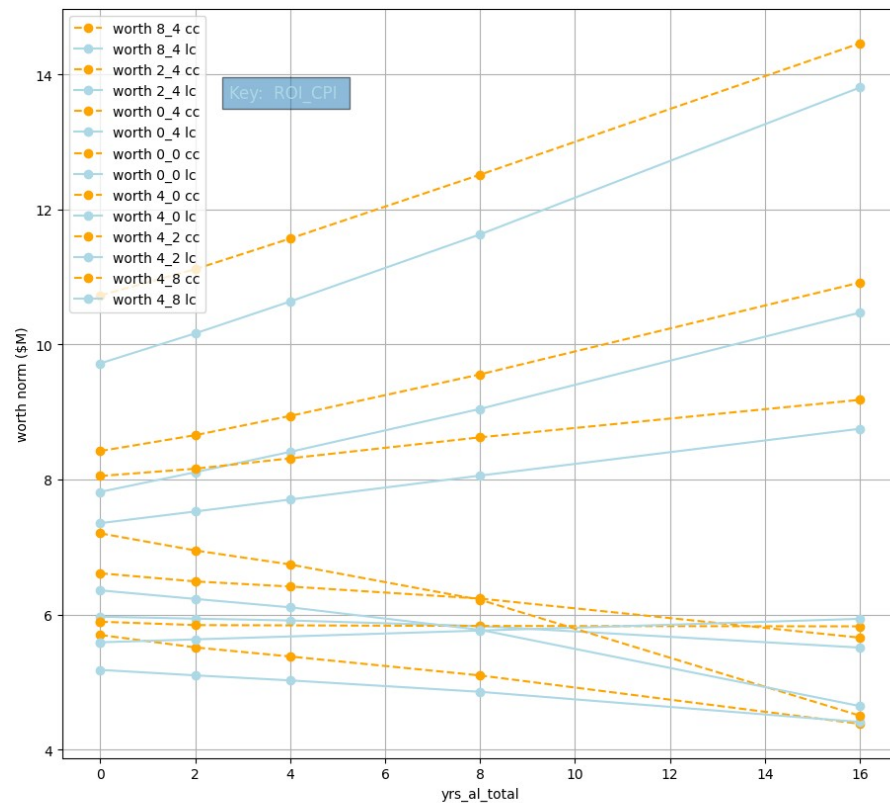
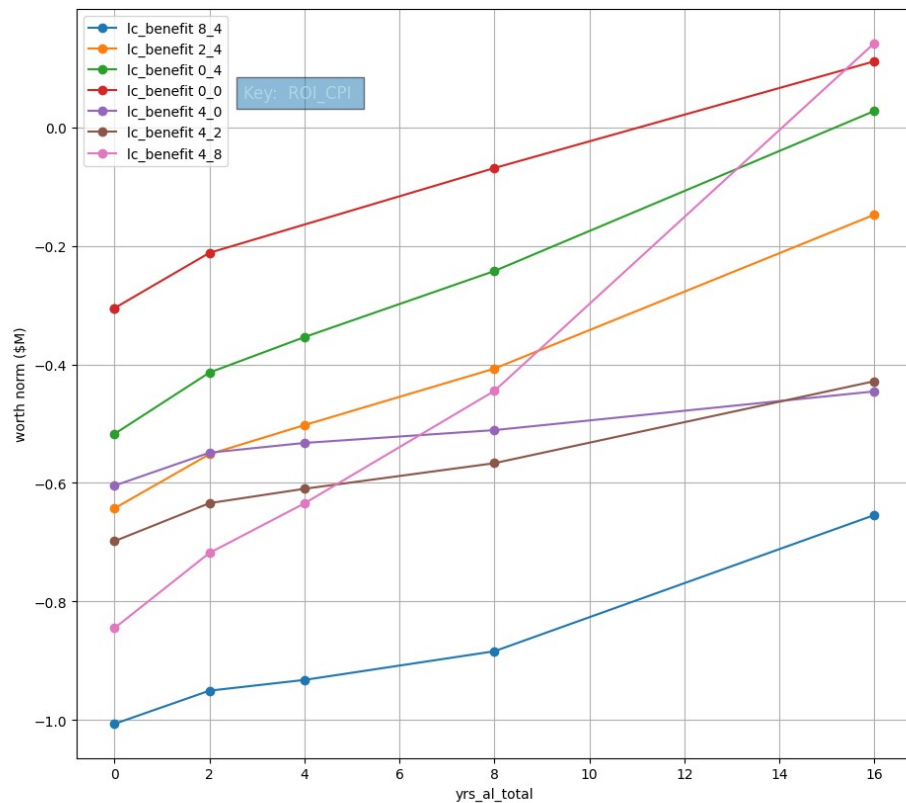
LC benefit and Worth 5 yrs Independent Living \$6.3M start



All \$ normalized to \$2026

10 yrs Independent

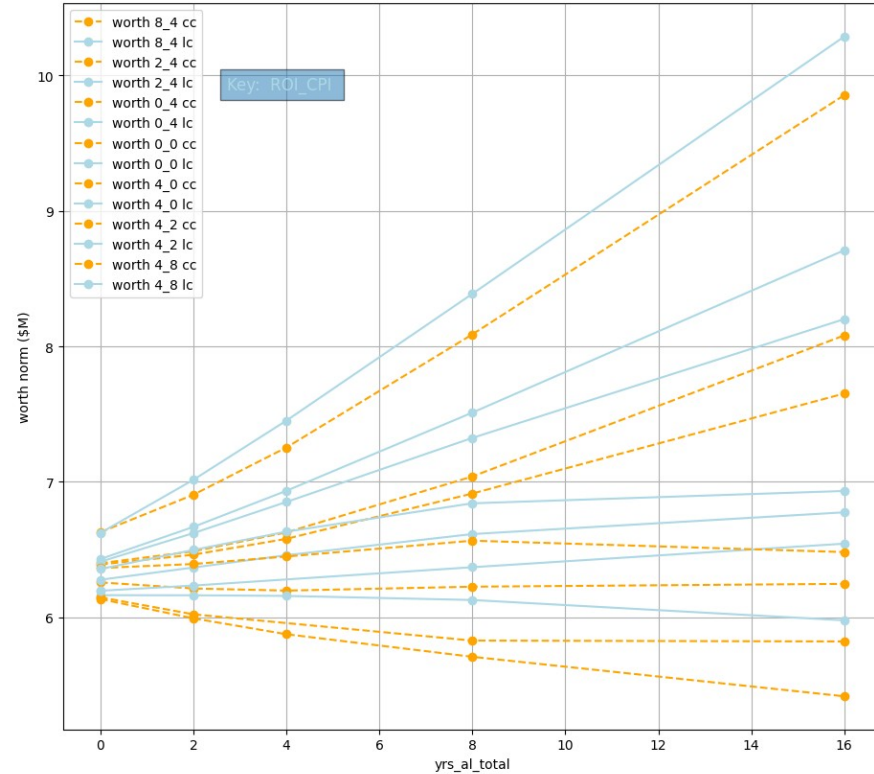
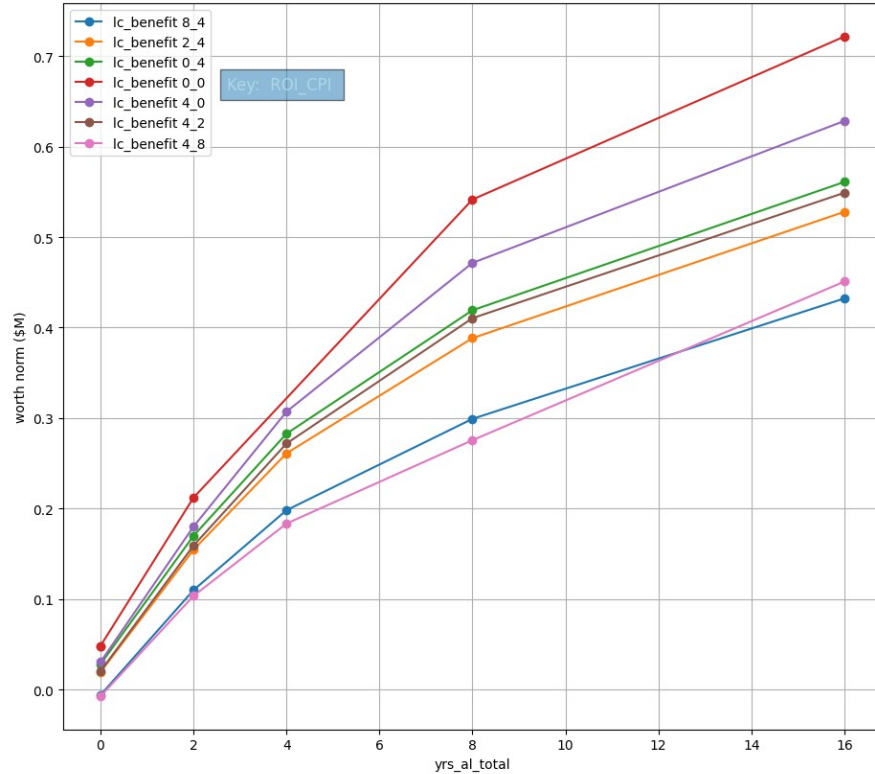
LC benefit and Worth 10 yrs Independent Living \$6.3M start



All \$ normalized to \$2026

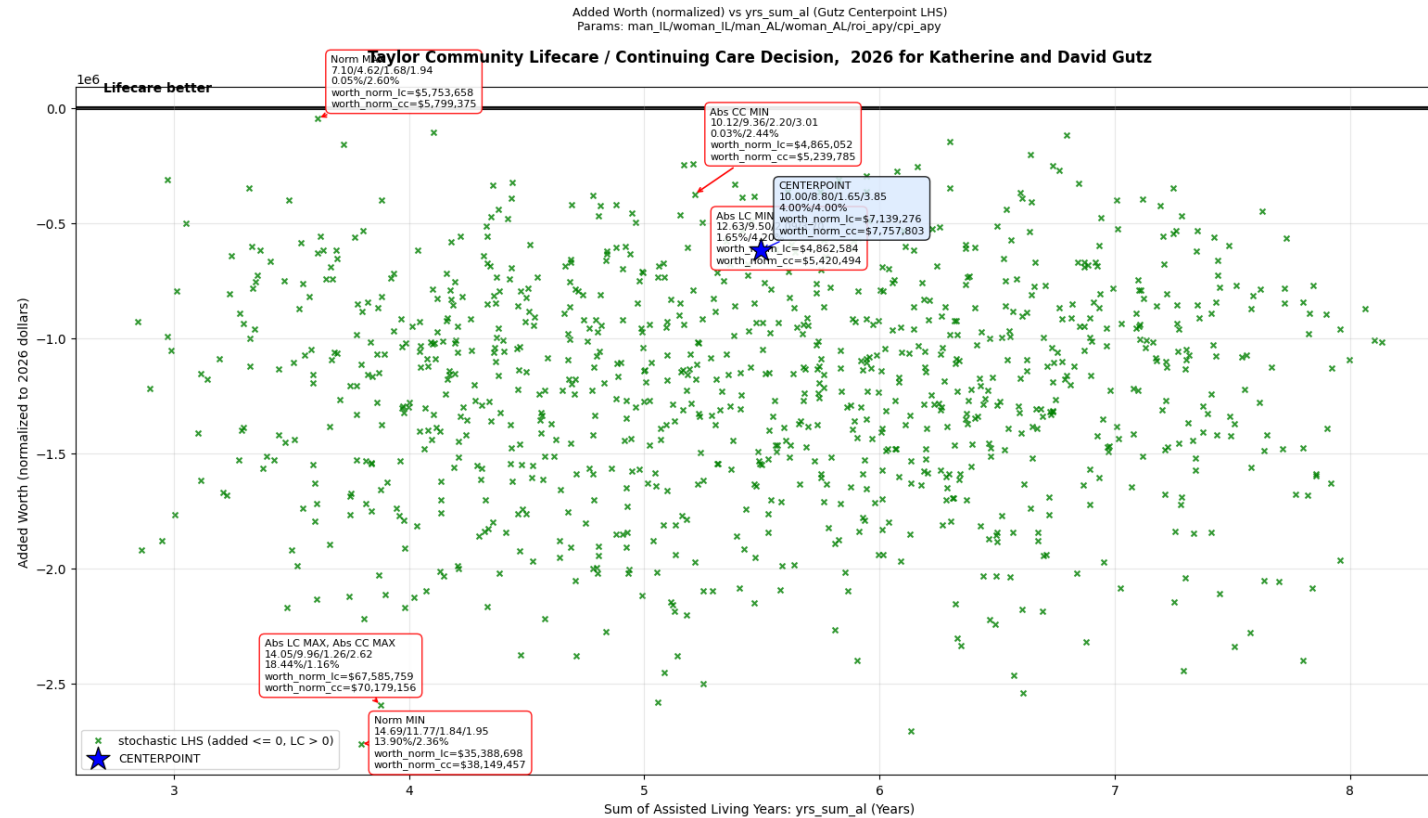
1 yrs Independent

LC benefit and Worth 1 yrs Independent Living \$6.3M start



All \$ normalized to \$2026

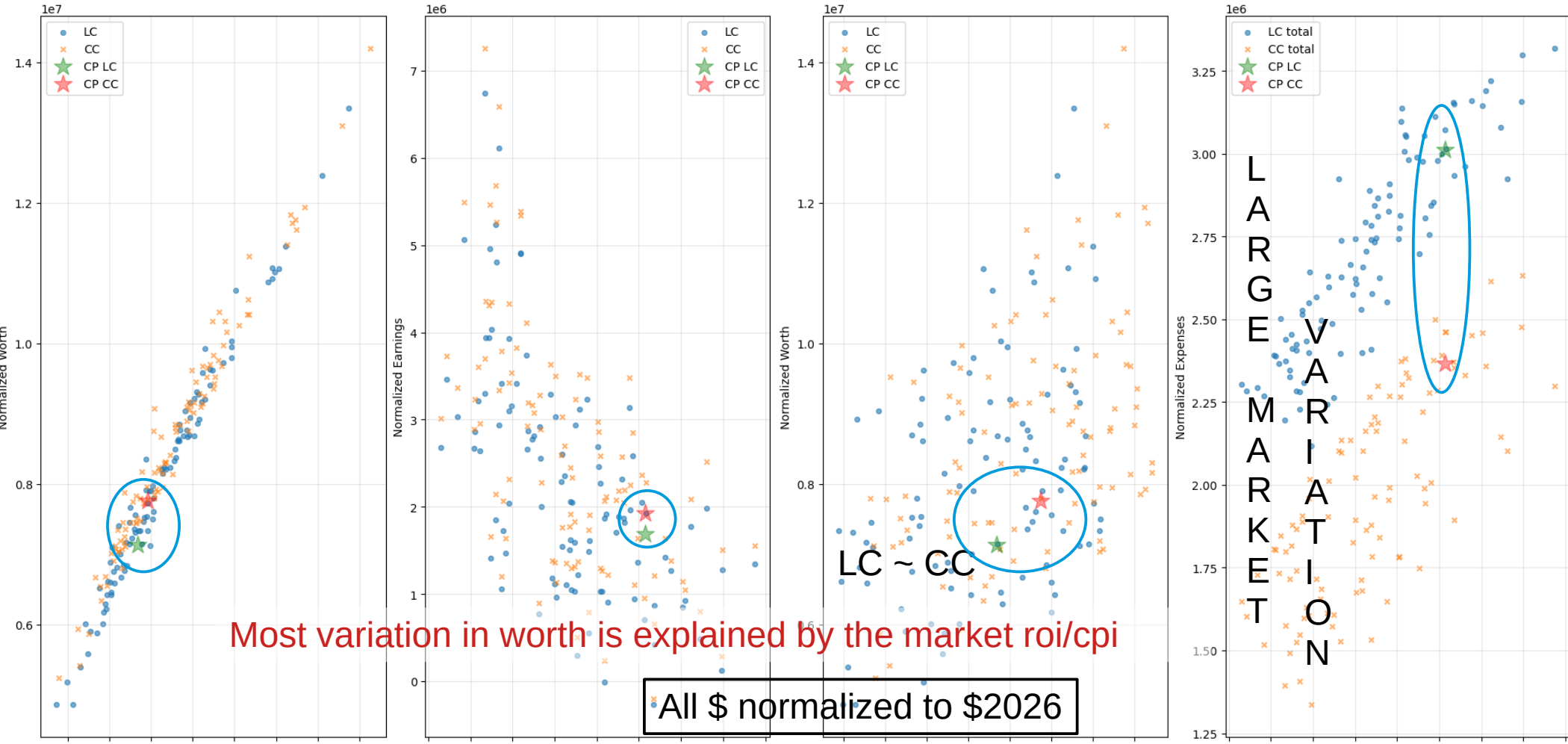
Relative Returns



All \$ normalized to \$2026; Green means worth >0

Trends – LC and CC close, within wild markets

Gutz Worth vs Earnings (normalized) - Nearest EP



Repeat Trends for +5Yrs

Added Worth (normalized) vs yrs_sum_al (Gutz Centerpoint LHS)
Params: man_IL/woman_IL/man_AL/woman_AL/roi_apy/cpi_apy

Taylor Community Lifecare / Continuing Care Decision, 2026 for Katherine and David Gutz

